

DIRECTORS' REPORT

Your Directors have pleasure in presenting the Fourteenth Annual Report with audited accounts for the year ended March 31, 2009.

FINANCIAL RESULTS

The summarized financial results of your Company for the year ended March 31, 2009 are as under

Particulars	(Rs. Lakhs)	
	For the year ended 31.03.2009	For the year ended 31.03.2008
Gross Income	83,027.67	60,606.19
Profit Before Tax	14,536.11	16,135.19
Provision for Tax & Fringe Benefit Tax	4,653.10	4,633.80
Profit After Tax	9,833.01	11,501.40
Add : Balance brought forward from previous years	10,992.20	1,800.80
Profit available for appropriation	20,875.21	13,302.20
Appropriations		
Transfer to Special Reserve u/s 45-IC of Reserve Bank of India Act, 1934	1,977.00	2,310.00
Surplus carried forward to Balance Sheet	18,898.21	10,992.20

APPROPRIATIONS

Your Company proposes to transfer Rs. 1,977.00 Lakhs (*Previous Year: Rs. 2,310.00 Lakhs*) to Special Reserve created u/s 45-IC of Reserve Bank of India Act, 1934 and retain Rs. 18,898.21 Lakhs (*Previous Year : Rs. 10,992.20 Lakhs*) in the Profit and Loss Account of the Company.

DIVIDEND

Your Directors have considered it financially prudent in the long-term interests of the Company to reinvest the profits into the business of the Company to build a strong reserve base and grow the business of the Company. No dividend has therefore been recommended for the year ended March 31, 2009.

PERFORMANCE OF THE COMPANY

The performance of your Company during the year was affected due to the economic slowdown, which resulted in lower business volumes across almost all sectors catered to by your Company. Tight liquidity conditions witnessed during the 3rd quarter of the financial year under review also led to increased interest costs.

The business atmosphere for non-banking finance companies continues to be challenging due to lower economic / credit growth and high cost of funds. The Company's strategy, as in the past, would be to focus on strong risk management & processes, profitable growth, innovative products and diversification of its product portfolio.

RESOURCES

During the year under review, L&T Capital Holdings Limited, the Holding Company, has additionally subscribed to 62,50,000 Equity Shares of Rs. 10/- each, for cash at a premium of Rs. 30/- per share, aggregating to Rs. 2,500 Lakhs. This resulted in increase of paid-up equity share capital and share premium of the Company by Rs. 625 Lakhs and Rs. 1,875 Lakhs, respectively.

Your Company had borrowed on different instruments from various sources for varying tenors. The total debt raised and repaid during the year were Rs. 16,63,997 Lakhs and Rs. 16,23,188 Lakhs, respectively. The quantum of long-term loans raised during the year was Rs. 2,09,144 Lakhs.

FIXED DEPOSITS

During the year, the Company has not accepted any public deposits. Your Company had stopped accepting any fresh deposits as well as renewal of existing public deposits. There were 53 deposits totaling Rs. 5.36 Lakhs, which were due for repayment and unclaimed by the depositors. Regular intimations / reminders were sent to the depositors in respect of unclaimed deposits.

CORPORATE GOVERNANCE

The Board has a formal schedule of matters reserved for its consideration and decision which includes review of the periodic financial performance and action plans for the subsequent quarters. To enable better and more focussed attention on the affairs of the Company, the Board delegates particular matters to Committees set up for the purpose. The six core Committees constituted by the Board in this connection are

- Committee of Directors
- Audit Committee
- Asset-Liability Management Committee

Credit Committee

Nomination & Compensation Committee

Risk Management Committee

During the year under review, five (5) Board Meetings were held on 07/04/2008, 29/04/2008, 17/07/2008, 31/10/2008, & 18/03/2009.

The details of Committee Meetings held during the year under review are furnished below :

Name of the Committee	Date(s) of Meeting
Committee of Directors	07/04/2008, 07/05/2008, 26/05/2008, 16/06/2008, 30/06/2008, 18/07/2008, 07/08/2008, 19/08/2008, 29/08/2008, 19/09/2008, 01/10/2008, 23/10/2008, 05/12/2008, 11/12/2008, 19/12/2008, 05/01/2009, 19/02/2009, 26/02/2009, 09/03/2009, & 18/03/2009
Audit Committee	29/04/2008, 17/07/2008, 31/10/2008, & 18/03/2009
Asset-Liability Management Committee	07/06/2008, 30/09/2008, 19/12/2008, & 02/03/2009
Credit Committee	15/01/2009 & 10/03/2009

AUDIT COMMITTEE

The Audit Committee consists of Mr. Y. M. Deosthalee, Mr. R. Shankar Raman, and Mr. S. Raghavan. The Audit Committee functions as an Audit Committee for the purposes of Section 292A of the Companies Act, 1956, as well as the RBI directions for NBFCs.

The role, terms of reference, authority and powers of the Audit Committee are in conformity with Section 292A of the Companies Act, 1956. The Audit Committee met four times during the year.

DIRECTORS

Pursuant to the provisions of the Companies Act, 1956, and Articles of Association of the Company, Mr. Y. M. Deosthalee and Mr. R. Shankar Raman, Directors of your Company, retire by rotation at the ensuing Annual General Meeting and being eligible, have offered themselves for re-appointment.

AUDITORS

M/s. Sharp & Tannan, Chartered Accountants, retire at the conclusion of the ensuing Annual General Meeting and have expressed their willingness to continue as Auditors, if re-appointed. The Board commends re-appointment of the firm as Statutory Auditors.

HUMAN RESOURCES

People remain the most valuable asset of your Company. Your Company believes that its past successes have come as much because of the soundness of its strategies as due to the quality and determination of all its employees, who turned these strategies into action. Going forward, your Company not only plans to maintain this key source of competitive advantage but also build on it through well-structured initiatives.

The focus of Human Resources function has been on driving a competency based model in most of the Company's HR processes and capability building of the employees for meeting future needs of the organisation. Your Company will continue to recruit the right people for the right job across the country through innovative methods and shall continue to enhance employee potential through continuous training and development plans. Your Company is well equipped in terms of its processes to continue to meet the upcoming requirements of its growth and expansion.

PARTICULARS OF EMPLOYEES AS REQUIRED UNDER SECTION 217(2A) OF THE COMPANIES ACT, 1956 AND THE RULES MADE THEREUNDER

Information under Section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, as amended, is appended herewith.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

In view of the nature of activities which are being carried on by the Company, Rules 2A and 2B of The Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988, concerning conservation of energy and technology absorption respectively, are not applicable to the Company.

The information on foreign exchange outgo is furnished in the Notes to the Accounts. There were no foreign exchange earnings during the year.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 217(2AA) of the Companies Act, 1956, the Directors, based on the representations received from the Operating Management, and after due enquiry, confirm that

- in the preparation of the annual accounts, the applicable Accounting Standards have been followed and there has been no material departure;
- the Directors have selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of your Company at the end of the financial year and of the profit or loss of your Company for that year;

L&T FINANCE LIMITED

- iii. the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of your Company and for preventing and detecting fraud and other irregularities; and
- iv. the Directors have prepared the annual accounts on a going concern basis.

AUDITORS' REPORT

The Auditors' Report is unqualified. The Notes to the Accounts referred to in the Auditors' Report are self-explanatory and, therefore, do not call for any further clarifications under Section 217(3) of the Companies Act, 1956.

SUBSIDIARY COMPANIES

As required under Section 212 of the Companies Act, 1956, the Audited Balance Sheet and Profit & Loss Account of L&T General Insurance Company Limited for the financial year ended March 31, 2009, along with the reports of the Auditors and Directors thereon are annexed and form part of the Report.

RESERVE BANK OF INDIA (RBI) GUIDELINES

Your Company has complied with all the applicable regulations of the Reserve Bank of India as on March 31, 2009.

ACKNOWLEDGEMENT

Your Directors wish to place on record their appreciation of the dedication and commitment of your Company's employees to the growth of your Company. Their unstinted support has been and continues to be integral to your Company's ongoing success. Your Directors wish to thank the Central and State Governments, Reserve Bank of India and other Regulatory / Government authorities, financial institutions, banks, mutual funds, clients and business associates for their continued co-operation and support.

For and on behalf of the Board

Place : Mumbai
Date : May 14, 2009

Y. M. DEOSTHALEE
Director

N. SIVARAMAN
Director

ANNEXURE TO THE DIRECTORS' REPORT

Information under Section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, and forming part of the Directors' Report for the year ended March 31, 2009.

(a) Employed throughout the financial year and in receipt of remuneration exceeding Rs. 24,00,000/- p.a.

Sr. No.	Name	Age (Years)	Designation	Gross Remuneration (Rs.)	Qualification	Experience (Years)	Date of Joining	Previous Employment
(1)	Mr. Dinanath Dubhashi	43	Vice President – Retail Finance & Distribution Group	43,55,373	B.E., PGDM	19	19/04/2007	BNP Paribas
(2)	Mr. V. Ramesh	45	Vice President – Enterprise Finance Group	33,16,991	B.Com., CS, CA, CPA	21	07/08/1995	SREI International Finance Limited
(3)	Mrs. Dipti Advani	42	Vice President – Credit & Functional Training	26,03,005	B.Com., ACA	21	01/03/1995	Infrastructure Leasing & Financial Services Limited
(4)	Mr. Anil Vaidya	46	Assistant Vice President	27,09,571	B. Tech., MMS	22	20/02/1997	SREI International Finance Limited
(5)	Mr. G. K. Shettigar	50	Assistant Vice President – Treasury	24,06,341	B.Com., ICWA	27	22/04/1996	Fujitsu ICIM Limited

(b) Employed for part of the financial year and in receipt of remuneration of not less than Rs. 2,00,000/- p.m.

Sr. No.	Name	Age (Years)	Designation	Gross Remuneration (Rs.)	Qualification	Experience (Years)	Date of Joining	Previous Employment
(1)	Mr. Pramod Pradhan*	60	Asst. Vice President – Facilities & Channel Management	20,70,649	DEE, DME	36	16/06/1997	Batliboi Limited
(2)	Mr. Suresh Vishwanathan**	53	Vice President – Audit & Compliance	2,46,674	BA, CAIIB	29	01/08/1996	Forge Investments Limited

* Retired on 06/01/2009

**Resigned w.e.f. 07/04/2008

Notes :

- (1) The above list excludes personnel on deputation from Larsen & Toubro Limited.
- (2) The Gross Remuneration shown above is subject to tax and comprises salary, allowances, performance linked reward, taxable value of perquisites, and Company's contribution to Provident Fund and Superannuation Fund.
- (3) All appointments are contractual and terminable by notice on either side.
- (4) None of the above employees hold any shares in the Company and is related to any of the Directors of the Company.

AUDITORS' REPORT

TO THE MEMBERS OF L&T FINANCE LIMITED

We have audited the attached Balance Sheet of L&T FINANCE LIMITED as at March 31, 2009, the Profit and Loss Account and the Cash Flow Statement for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with Auditing Standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In accordance with the provisions of Section 227 of the Companies Act, 1956, we report that

1. As required by the Companies (Auditor's Report) Order, 2003, and as amended by the Companies (Auditor's Report) (Amendment) Order, 2004 ('the Order') issued by the Central Government of India in terms of Section 227(4A) of the Companies Act, 1956, we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order.
2. Further to our comments in the Annexure referred to above, we report that
 - (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) in our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - (c) the Balance Sheet and the Profit and Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of accounts;
 - (d) in our opinion, the Profit and Loss Account, the Balance Sheet and the Cash Flow Statement dealt with by this report comply with the Accounting Standards referred to in Section 211(3C) of the Companies Act, 1956;
 - (e) on the basis of the written representations received from Directors of the Company as at March 31, 2009 and taken on record by the Board of Directors, we report that none of the Directors is disqualified as on March 31, 2009 from being appointed as a Director in terms of Section 274(1)(g) of the Companies Act, 1956; and
 - (f) in our opinion and to the best of our information and according to the explanations given to us, the said accounts read together with the Significant Accounting Policies in Schedule '14' and the Notes on Accounts in Schedule '15' appearing thereon, give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India
 - (i) in the case of the Balance Sheet, of the state of affairs of the Company as at March 31, 2009;
 - (ii) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
 - (iii) In the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

SHARP & TANNAN
Chartered Accountants

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai
Date : May 14, 2009

ANNEXURE TO THE AUDITORS' REPORT

(Referred to in paragraph 1 of our report of even date)

- (i)
 - (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
 - (b) In respect of owned assets as explained to us, all fixed assets have been physically verified by the management during the year. In respect of leased assets the Company has formulated a programme of physical verification of all the fixed assets over a period of three years, which in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
 - (c) The Company has not disposed of any substantial part of its fixed assets during the year so as to affect its going concern status.
- (ii) The Company is a non-banking finance company and does not hold any inventories. Accordingly, reporting on paragraph 4(ii)(a), (b) and (c) of the Order, is not applicable.

- (iii) (a) According to the information and explanations given to us, Company has not granted any loans, secured or unsecured, to companies, firms or other parties covered in the register maintained under Section 301 of the Companies Act, 1956. Accordingly, reporting under paragraph 4(iii)(b), (c) and (d) of the Order, is not applicable.
- (b) According to the information and explanations given to us, Company has not taken any loans, secured or unsecured, from companies, firms or other parties covered in the register maintained under Section 301 of the Companies Act, 1956. Accordingly, reporting under paragraph 4(iii)(f) and (g) of the Order, is not applicable.
- (iv) In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the Company and the nature of its business for the purchase of fixed assets and for services rendered. We have neither come across nor have been informed of any continuing failure to correct major weaknesses in internal control system.
- (v) According to the information and explanations given to us, there are no contracts or arrangements that need to be entered into the register maintained under Section 301 of Companies Act, 1956. Accordingly, reporting under Paragraph 4(v)(b) of the Order is not applicable.
- (vi) The Company has not accepted any deposits from the public to which the directives issued by the Reserve Bank of India and the provisions of Sections 58A, 58AA and any other relevant provisions of the Companies Act, 1956 and the rules framed thereunder apply.
- (vii) The Company is having internal audit system commensurate with the size of the Company and the nature of its business.
- (viii) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956.
- (ix) (a) According to the information and explanations given to us, the Company is regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees State Insurance, Income Tax, Sales Tax, Wealth Tax, Service Tax, Cess and other statutory dues as applicable with the appropriate authorities. According to the information and explanations given to us, there are no arrears of outstanding statutory dues as at the last day of the financial year for a period exceeding six months from the date they became payable.
- (b) According to the information and explanations given to us, the Company have no dues of Wealth Tax, Service Tax, Cess which have not been deposited with the appropriate authorities on account of dispute. *However, with respect to Income Tax and Sales Tax, demands amounting to Rs. 132,613,913 and Rs. 37,551,818 respectively are in appeals with various forum / authorities.*
- (x) The Company has no accumulated losses as at March 31, 2009 and it has not incurred any cash losses in the financial year ended on that date and in the immediately preceding financial year.
- (xi) According to the records of the Company examined by us and the information and explanations given to us, the Company has not defaulted in repayment of dues to any financial institution or bank or debenture holders as at the Balance Sheet date.
- (xii) Based on our examination of documents and records, we are of the opinion that the Company has maintained adequate records where the loans and advances are granted on the basis of security by way of pledge of shares, debentures and other securities.
- (xiii) The provisions of any special statute applicable to chit fund / nidhi / mutual benefit fund / societies are not applicable to the Company. Accordingly, reporting under paragraph 4(xiii) of the Order is not applicable.
- (xiv) The Company is dealing and trading in shares, securities, debentures and other investments. The Company has maintained proper records of the transactions and contracts and timely entries have been made therein and the shares, securities, debentures and other investments have been held by the Company, in its own name.
- (xv) The Company has not given any guarantee for loans taken by others from bank or financial institutions. Accordingly, reporting under paragraph 4(xv) of the Order is not applicable.
- (xvi) In our opinion and according to the information and explanations given to us, on an overall basis, the term loans have been applied for the purposes for which they were obtained.
- (xvii) According to the information and explanations given to us and on an overall examination of the Balance Sheet of the Company, we report that no funds raised on short-term basis have been used for long-term investments.
- (xviii) The Company has not made any preferential allotment of shares during the year. Accordingly, reporting under paragraph 4(xviii) of the Order is not applicable.
- (xix) According to information and explanations given to us and record examined by us, security / charges have been created in respect of secured debentures outstanding at the year end.
- (xx) The Company has not raised any money by public issues during the year. Accordingly, reporting under paragraph 4(xx) of the Order is not applicable.
- (xxi) During the course of our examination of the books and records of the Company, carried out in accordance with generally accepted auditing practices in India and according to information and explanations given to us, we have neither come across any fraud on or by the Company noticed or reported during the year, nor have we been informed of such case by management.

SHARP & TANNAN
Chartered Accountants

MILIND P. PHADKE
Partner
Membership No. 33013

Place : Mumbai
Date : May 14, 2009

BALANCE SHEET AS AT MARCH 31, 2009

	Schedule	31.03.2009 Rupees	31.03.2008 Rupees
SOURCES OF FUNDS			
Shareholders' Funds			
Share Capital	1	1,866,915,000	1,866,915,000
Share Application Money Pending Allotment		250,000,000	—
Reserves and Surplus	2	6,337,665,955	5,349,365,059
		8,454,580,955	7,216,280,059
Loan Funds			
Secured Loans	3	24,835,808,578	23,242,408,131
Unsecured Loans	4	19,675,027,202	17,187,709,085
		44,510,835,780	40,430,117,216
Deferred Tax Liabilities [See Note No. P(b)]		402,756,000	286,300,000
TOTAL		53,368,172,735	47,932,697,275
APPLICATION OF FUNDS			
Fixed Assets			
Gross Block	5	3,207,190,929	5,116,753,593
Less : Depreciation and Amortization		907,995,155	1,243,527,806
Net Block		2,299,195,774	3,873,225,787
Capital Work-in-Progress		120,092,051	140,345,892
		2,419,287,825	4,013,571,679
Investments	6	70,235,729	366,677,974
Deferred Tax Assets [See Note No.P(b)]		93,846,000	33,890,000
Loans & Advances towards Financing Activities	7	48,426,564,539	43,272,698,490
Current Assets, Loans and Advances	8		
Stock-on-Hire		—	1,603,786
Sundry Debtors		1,790,607,497	1,067,004,391
Cash and Bank Balances		697,585,247	293,477,836
Other Current Assets		331,225,206	213,683,686
Other Loans and Advances		1,556,139,422	2,177,875,858
		4,375,557,372	3,753,645,557
Less: Current Liabilities and Provisions	9		
Liabilities		1,593,889,105	3,072,224,242
Provisions		423,429,625	435,562,183
		2,017,318,730	3,507,786,425
Net Current Assets		2,358,238,642	245,859,132
TOTAL		53,368,172,735	47,932,697,275
SIGNIFICANT ACCOUNTING POLICIES	14		
NOTES FORMING PART OF ACCOUNTS	15		
BALANCE SHEET ABSTRACT & COMPANY'S GENERAL BUSINESS PROFILE	16		

The schedules referred to above and the notes attached form an integral part of the financial statements.

As per our report attached

For and on behalf of the Board

SHARP & TANNAN

Chartered Accountants

MILIND P. PHADKE

Partner

Membership No. 33013

N. SURYANARAYANAN

Manager and Company Secretary

Y. M. DEOSTHALEE

Director

N. SIVARAMAN

Director

Place : Mumbai

Date : May 14, 2009

Place : Mumbai

Date : May 14, 2009

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED MARCH 31, 2009

	<u>Schedule</u>	<u>2008-2009 Rupees</u>	<u>2007-2008 Rupees</u>
INCOME			
Income from operations	10	8,302,766,849	6,060,619,125
TOTAL		<u>8,302,766,849</u>	<u>6,060,619,125</u>
EXPENDITURE			
Personnel Expenses	11	318,901,520	186,527,354
Administration and Other Expenses	12	824,155,627	361,253,743
Interest and Other Finance Charges	13	5,137,035,810	3,363,408,438
Depreciation and Amortization		569,062,996	535,910,355
TOTAL		<u>6,849,155,953</u>	<u>4,447,099,890</u>
Profit Before Tax		<u>1,453,610,896</u>	<u>1,613,519,235</u>
Provision for Tax		403,100,000	418,300,000
Provision for Deferred Tax [See Note No. P(b)]		56,500,000	41,400,000
Provision for Fringe Benefit Tax		5,710,000	3,680,000
Profit After Tax		<u>988,300,896</u>	<u>1,150,139,235</u>
Balance Brought Forward		1,099,219,557	180,080,322
Profit available for Appropriation		<u>2,087,520,453</u>	<u>1,330,219,557</u>
Appropriation			
Transfer to Reserve u/s 45-IC of RBI Act, 1934		197,700,000	231,000,000
Balance carried to Balance Sheet		<u>1,889,820,453</u>	<u>1,099,219,557</u>
Earnings Per Share (Basic and Diluted) [See Note No. M(iii)]		5.29	6.40
Nominal Value Per Equity Share		10	10
SIGNIFICANT ACCOUNTING POLICIES	14		
NOTES FORMING PART OF ACCOUNTS	15		
BALANCE SHEET ABSTRACT & COMPANY'S GENERAL BUSINESS PROFILE	16		

The schedules referred to above and the notes attached form an integral part of the financial statements.

As per our report attached

SHARP & TANNAN

Chartered Accountants

For and on behalf of the Board

MILIND P. PHADKE

Partner

Membership No. 33013

N. SURYANARAYANAN

Manager and Company Secretary

Y. M. DEOSTHALEE

Director

N. SIVARAMAN

Director

Place : Mumbai

Date : May 14, 2009

Place : Mumbai

Date : May 14, 2009

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2009

	2008-2009 Rupees	2007-2008 Rupees
A. Cash Flow from Operating Activities		
Net Profit Before Tax as per Profit and Loss Account	1,453,610,896	1,613,519,235
Adjustment for		
Depreciation	569,062,996	535,910,355
(Profit) / Loss on sale of investments (net)	18,906,451	(14,757,833)
(Profit) / Loss on sale of fixed assets	10,738,784	(2,254,138)
Interest and dividend received on investments	(53,126,323)	(88,194,838)
Provision for leave encashment	1,912,382	4,031,556
Provision for diminution in value of investments	11,708,614	(21,457,820)
Provision for non performing assets/write offs	53,856,664	60,527,502
Operating Profit before Working Capital changes	2,066,670,464	2,087,324,019
(Increase) / Decrease in net stock on hire	1,603,786	9,239,220
(Increase) / Decrease Loans & Advances towards financing activities	(5,207,722,713)	(19,232,483,611)
(Increase) / Decrease in trade and other receivables and advances	(219,408,190)	(1,069,209,551)
Increase / (Decrease) in trade and other payables	(1,492,380,077)	1,756,739,445
Cash generated from Operations	(4,851,236,730)	(16,448,390,478)
Direct taxes paid	(408,810,000)	(421,980,000)
Net Cash (used in) / from Operating Activities (A)	(5,260,046,730)	(16,870,370,478)
B. Cash Flows from Investing Activities		
Purchase of fixed assets (including capital Work-In-Progress)	(865,840,630)	(885,687,263)
Proceeds / Adjustments from sale of fixed assets	1,880,322,704	49,128,525
Purchase of shares of subsidiaries & associate company	-	(130,500,000)
Purchase of investments	(140,536,722,063)	(160,826,680,160)
Sale of investments	140,587,549,273	161,083,908,690
Sale of shares of subsidiaries & associate company	214,999,970	-
Interest or dividend received on investments	53,126,323	88,194,838
Net Cash (used in) / from Investing Activities (B)	1,333,435,577	(621,635,370)
C. Cash Flows from Financing Activities		
Increase / (Decrease) in secured loans	1,593,400,447	11,149,619,292
Increase / (Decrease) in unsecured loans	2,699,818,117	4,709,487,272
Increase / (Decrease) in unsecured loans Subsidiaries & Associate	(212,500,000)	(872,176,864)
Proceeds from issue of share capital including securities premium	250,000,000	2,500,000,000
Net Cash Generated (used in) / from Financing Activities (C)	4,330,718,564	17,486,929,700
Net Cash Increase /(Decrease) in Cash and Cash Equivalents (A+B+C)	404,107,411	(5,076,148)
Cash and Cash Equivalents as at beginning of the year	293,477,836	298,553,984
Cash and Cash Equivalents as at end of the year	697,585,247	293,477,836

Notes:

- 1) Cash Flow Statement has been prepared under indirect method as set out in the Accounting Standard (AS)3: Cash Flow Statements.
- 2) Purchase of fixed assets includes movements of capital Work-in-Progress between the beginning and end of the year.
- 3) Cash and Cash Equivalents represent Cash and Bank Balances.

As per our report attached
SHARP & TANNAN
Chartered Accountants

For and on behalf of the Board

MILIND P. PHADKE
Partner
Membership No. 33013

N. SURYANARAYANAN
Manager and Company Secretary

Y. M. DEOSTHALEE
Director

N. SIVARAMAN
Director

Place : Mumbai
Date : May 14, 2009

Place : Mumbai
Date : May 14, 2009

SCHEDULES FORMING PART OF ACCOUNTS

	31.03.2009		31.03.2008
	Rupees	Rupees	Rupees
SCHEDULE - 1			
SHARE CAPITAL			
Authorised			
20,00,00,000 Equity Shares of Rs. 10/- each	2,000,000,000		1,900,000,000
(Previous year 190,000,000 Equity Shares of Rs. 10/- each)			
	2,000,000,000		1,900,000,000
Issued and Subscribed			
19,29,41,500 Equity Shares of Rs. 10/- each	1,929,415,000		1,866,915,000
(Previous year 186,691,500 Equity Shares of Rs. 10/- each)			
	1,929,415,000		1,866,915,000
Paid-up			
18,66,91,500 Equity Shares of Rs. 10 each fully paid-up	1,866,915,000		1,866,915,000
(Previous year 186,691,500 Equity Shares of Rs. 10/- each)			
Of the above			
26,691,500 Equity Shares are allotted as fully paid up for a consideration other than cash consequent on amalgamation			
1,86,691,493 Equity Shares are held by L&T Capital Holdings Limited, the Holding Company			
7 Equity Shares are held by the nominees of Larsen & Toubro Limited along with Larsen & Toubro Limited			
Larsen & Toubro Limited being the Ultimate Holding Company			
(Previous year 186,691,500 Equity Shares were held by Larsen & Toubro Limited, the Holding Company & its nominees)			
TOTAL	1,866,915,000		1,866,915,000
SCHEDULE - 2			
RESERVES AND SURPLUS			
Reserve u/s 45-IC of RBI Act, 1934			
As per last Balance Sheet	593,489,145		362,489,145
Add : Transferred from Profit and Loss Account	197,700,000		231,000,000
	791,189,145		593,489,145
General Reserve			
As per last Balance Sheet	648,431,357		859,441,357
Add : Deferred tax assets as at April 1, 2007	-		11,590,000
Less : Deferred tax liabilities as at April 1, 2007	-		222,600,000
	648,431,357		648,431,357
Capital Redemption Reserve	8,225,000		8,225,000
Securities Premium Account			
As per last Balance Sheet	3,000,000,000		1,125,000,000
Add : Received during the year	-		1,875,000,000
	3,000,000,000		3,000,000,000
Profit and Loss Account	1,889,820,453		1,099,219,557
TOTAL	6,337,665,955		5,349,365,059

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2009 Rupees	31.03.2008 Rupees
SCHEDULE - 3		
SECURED LOANS		
Secured Redeemable Non-Convertible Debentures	9,000,000,000	9,470,000,000
From Banks		
Term loan	14,697,500,000	12,567,500,000
Foreign currency loan	638,308,578	504,908,131
Others	500,000,000	700,000,000
TOTAL	24,835,808,578	23,242,408,131

SCHEDULE - 4		
UNSECURED LOANS		
Loans and advances from subsidiary	–	77,500,000
Short term loans and advances		
From Banks		
Short term loans	12,159,999,312	6,709,999,312
Commercial papers	5,400,000,000	9,000,000,000
From Others		
Non Convertible Debentures	1,850,000,000	1,000,000,000
Others	265,000,000	400,000,000
Other loans and advances		
Lease finance	27,890	209,773
TOTAL	19,675,027,202	17,187,709,085

SCHEDULE - 5
FIXED ASSETS

ASSETS	GROSS BLOCK (at cost)				DEPRECIATION / AMORTISATION				NET BLOCK	
	As at 01.04.2008 Rupees	Additions Rupees	Sale / Adjustment Rupees	As at 31.03.2009 Rupees	Upto 31.03.2008 Rupees	For the year Rupees	Deduction / Adjustment Rupees	Upto 31.03.2009 Rupees	As at 31.03.2009 Rupees	As at 31.03.2008 Rupees
Tangible Assets										
Owned Assets										
Building	369,769,203	–	–	369,769,203	38,499,461	6,027,236	–	44,526,697	325,242,506	331,269,742
Plant & machinery	2,973,493,368	341,991,107	2,512,379,896	803,104,579	627,656,123	251,738,204	724,721,064	154,673,263	648,431,316	2,345,837,245
Furniture & fixtures	16,750,243	152,411,138	44,768	169,116,613	2,838,411	4,683,090	472	7,521,029	161,595,584	13,911,832
Motor car	1,014,544,819	302,248,530	140,574,645	1,176,218,704	351,540,631	159,200,159	92,330,285	418,410,505	757,808,199	663,004,188
Vehicles	121,904,418	–	105,919,666	15,984,752	63,421,055	14,882,484	65,881,978	12,421,561	3,563,191	58,483,363
Computers	585,192,995	39,417,827	36,208,219	588,402,603	146,256,949	114,967,301	21,209,670	240,014,580	348,388,023	438,936,046
Total (A)	5,081,655,046	836,068,602	2,795,127,194	3,122,596,454	1,230,212,630	551,498,474	904,143,469	877,567,635	2,245,028,819	3,851,442,416
Assets taken on lease										
Vehicles	741,281	–	529,941	211,340	469,969	126,018	452,178	143,809	67,531	271,312
Total (B)	741,281	–	529,941	211,340	469,969	126,018	452,178	143,809	67,531	271,312
Total (C) = (A) + (B)	5,082,396,327	836,068,602	2,795,657,135	3,122,807,794	1,230,682,599	551,624,492	904,595,647	877,711,444	2,245,096,350	3,851,713,728
Intangible Assets										
Owned Assets										
Specialised software	34,357,266	50,025,869	–	84,383,135	12,845,207	17,438,504	–	30,283,711	54,099,424	21,512,059
Total (D)	34,357,266	50,025,869	–	84,383,135	12,845,207	17,438,504	–	30,283,711	54,099,424	21,512,059
(C) + (D)	5,116,753,593	886,094,471	2,795,657,135	3,207,190,929	1,243,527,806	569,062,996	904,595,647	907,995,155	2,299,195,774	
Previous year	4,145,658,545	1,048,041,172	76,946,124	5,116,753,593	737,689,186	535,910,355	30,071,735	1,243,527,806		3,873,225,787
Add : Capital work-in-progress									120,092,051	140,345,892
TOTAL									2,419,287,825	4,013,571,679

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2009		31.03.2008
	Rupees	Rupees	Rupees
SCHEDULE - 6			
INVESTMENTS (At cost)			
Long Term Investments			
Government Securities	4,000		4,000
Fully paid equity shares	500,000		215,499,970
		504,000	215,503,970
Current Investments			
Fully paid equity shares	86,425,339		6,159,000
Mutual funds	–		150,000,000
Others	1,000		1,000
		86,426,339	156,160,000
		86,930,339	371,663,970
Less: Provision for diminution in value of investments		16,694,610	4,985,996
TOTAL		70,235,729	366,677,974
Note :			
Quoted investments			
Book value	81,439,339		151,173,000
Market value	72,167,653		152,044,992
Unquoted Investments			
Book value	505,004		215,504,974
Particulars of investments			
1. Long-term investments			
• Government Securities			
12% National Saving Certificate 2002	4,000		4,000
(Deposited as security with sales tax authorities)			
TOTAL (A)	4,000		4,000
• Fully paid equity shares			
1. Subsidiary Company			
L&T Capital Company Limited	–		169,999,970
(Previous Year: 16,999,997 shares of Rs. 10/- each)			
L&T General Insurance Company Limited	500,000		500,000
50,000 shares (Previous Year: 50,000 shares) of Rs. 10/- each			
	500,000		170,499,970
2. Associate Company			
NAC Infrastructure Equipment Limited	–		45,000,000
(Previous Year: 4,500,000 shares of Rs. 10/- each)			
	–		45,000,000
TOTAL (B)	500,000		215,499,970

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2009 Rupees	31.03.2008 Rupees
2. Current investments		
• Fully paid equity shares		
Metropoli Overseas Limited (99,400 shares of Rs. 10/- each)	1,491,000	1,491,000
Anil Chemicals and Industries Limited (40,000 shares of Rs. 10/- each)	800,000	800,000
Elque Polyesters Limited (194,300 shares of Rs. 10/- each)	1,943,000	1,943,000
Monnet Industries Limited (18,800 shares of Rs. 10/- each)	752,000	752,000
Integrated Digital Info Services Limited (383,334 shares of Rs. 10/- each)	1,173,000	1,173,000
ABB Limited (12,002 shares of Rs. 2/- each)	7,150,467	—
Areva T&D India Limited (25,912 shares of Rs. 2/- each)	5,648,175	—
Axis Bank Limited (15,000 shares of Rs. 10/- each)	8,697,123	—
Bharat Heavy Electricals Limited (3,500 shares of Rs. 10/- each)	5,036,499	—
Gujarat NRE Coke Limited (235,500 shares of Rs. 10/- each)	7,037,696	—
Infosys Technologies Limited (7,700 shares of Rs. 5/- each)	10,447,067	—
Jaiprakash Associates Limited (120,000 shares of Rs. 2/- each)	8,338,955	—
Kotak Mahindra Bank Limited (30,000 shares of Rs. 10/- each)	11,390,103	—
Suzlon Energy Limited (165,000 shares of Rs. 2/- each)	7,879,710	—
Unitech Limited (260,000 shares of Rs. 2/- each)	8,640,544	—
TOTAL (C)	86,425,339	6,159,000
• Mutual Funds		
Principal CMF - Liquid Option - Institutional Premium - Daily Dividend (15,001,815.399 Units of Rs. 10/- each purchased during previous year) (2,000,815.957 Units of Rs. 10/- each sold during previous year)	—	150,000,000
TOTAL (D)	—	150,000,000
• Others		
LTFL Securitisation Trust 2002	1,000	1,000
TOTAL (E)	1,000	1,000
TOTAL (A+B+C+D+E)	86,930,339	371,663,970
Less: Provision for diminution in value of investments	16,694,610	4,985,996
TOTAL	70,235,729	366,677,974

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)**Details of investments purchased and sold during the year**

	<u>Face Value Rs. Per Unit</u>	<u>Nos.</u>	<u>Cost Rs. Lakhs</u>
Money Market Mutual Fund			
AIG India Liquid Fund - Institutional Plan - Daily Dividend Option	1,000	49,960	500
Birla Sun Life Cash Plus - Institutional - Daily Dividend	10	3,818,553,820	382,600
Birla Sun Life Gilt Plus - Regular Plan - Growth	10	10,540,281	3,200
DWS Insta Cash Plus Fund - Institutional Plan - Daily Dividend	10	25,949,399	2,600
DWS Insta Cash Plus Fund Super Institutional Plan - Daily Dividend	10	695,608,782	69,700
DWS Ultra Short Term Fund - Inst Plan - Daily Dividend	10	449,326,011	45,000
Fidelity Cash Fund - Super Institutional Plan - Daily Dividend Option	10	24,993,752	2,500
HDFC Cash Management Fund - Savings Plan - Daily Dividend Option	10	841,450,115	89,500
HDFC Gilt Fund - Short Term - Dividend	10	4,605,621	500
HDFC Liquid Fund - Premium Plan - Dividend - Daily	10	11,011,599	1,350
HSBC Cash Fund - Inst. Plus - Dividend - Daily	10	944,471,096	94,500
IDFC CF - Plan C - Daily Dividend	10	19,995,001	2,000
IDFC GSF - Investment Plan - PLAN B GROWTH	10	9,215,188	1,000
IDFC Liquid Fund - Daily Dividend	1,000	10,885,214	108,875
JPMorgan India Liquid Fund - Super Institutional - Daily dividend re-investment option	10	218,827,127	21,900
Kotak Liquid-Institutional Premium Plan - (Daily Dividend)	10	91,183,422	11,150
Mirae Asset Liquid Fund - Super Institutional Plan - Daily Dividend	1,000	16,847,962	168,600
Principal Cash Management - Liquid Option-Institutional - Daily Dividend Plan	10	925,935,185	92,600
Reliance Gilt Securities Fund - Institutional Plan - Growth Option	10	4,285,592	500
Reliance Liquid Plus Fund - Institutional Plan - Daily Dividend Option	10	790,255,021	79,050
Tata Gilt Securities Short Maturity Fund - Growth	10	14,101,687	2,000
Tata Liquid Super High Investment Plan - Daily Dividend	1,000	10,538,169	117,450
UTI- Liquid Fund - Cash Plan - INST - Income	1,000	5,370,566	54,750
UTI MMF - Daily Dividend	10	271,620,506	49,100
Equity Shares			
ABB Limited	2	310	2
Areva T&D India Limited	2	13,289	53
Ashok Leyland Limited	1	235,000	39
Axis Bank Limited	10	23,906	150
Bharti Airtel Limited	10	26,500	178
Bharat Heavy Electricals Limited	10	10,900	163
Colgate-palmolive (India) Limited	1	3,000	13
Gujarat NRE Coke Limited	10	193,058	93
HDFC Bank Limited	10	13,350	174
Housing Development & Infrastructure Limited	10	5,000	38
Infosys Technologies Limited	5	17,700	252
Jaiprakash Associates Limited	2	341,252	305
Jindal Steel & Power Limited	1	1,500	33
Kotak Mahindra Bank Limited	10	16,510	72
Mahindra & Mahindra Limited	10	6,910	20
Nagarjuna Construction Company Limited	2	18,250	36
Punj Lloyd Limited	2	43,000	82
Ranbaxy Laboratories Limited	5	20,000	95
Reliance Infrastructure Limited	10	6,800	80
Satyam Computer Services Limited	2	38,000	61
State Bank of India	10	4,500	52
Sterlite Industries (India) Limited	2	118,820	439
Suzlon Energy Limited	2	274,000	192
Tata Power Company Limited	10	1,000	13
Tata Steel Limited	10	28,500	67
Tata Consultancy Services Limited	1	65,000	400
Thermax Limited	2	13,133	60
Unitech Limited	2	461,671	243

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	31.03.2009		31.03.2008	
	Rupees	Rupees	Rupees	Rupees
SCHEDULE - 7				
LOANS & ADVANCES TOWARDS FINANCING ACTIVITIES				
Secured, considered good				
Loans against pledge of shares and securities		3,641,702,557		3,189,503,170
Unsecured, considered good				
Bills discounted	2,199,707,823		2,309,413,003	
Other loans	41,857,893,611		37,291,671,949	
		44,057,601,434		39,601,084,952
Unsecured, considered doubtful				
Other loans	808,067,276		354,923,963	
Less: Provision for non-performing assets	80,806,728		35,492,396	
		727,260,548		319,431,567
Advances towards lease capital assets		–		162,678,801
TOTAL		48,426,564,539		43,272,698,490
SCHEDULE - 8				
CURRENT ASSETS, LOANS AND ADVANCES				
Stock-on-hire		–		1,603,786
Sundry Debtors				
Unsecured, considered good				
Debts outstanding for a period exceeding six months	338,510,000		96,481,015	
Others	1,598,654,148		1,024,199,980	
Less: Provision for doubtful debts	146,556,651		53,676,604	
		1,790,607,497		1,067,004,391
Cash and Bank Balances				
Cash in hand	796,271		412,614	
Balances with Scheduled Banks				
on current account	695,559,843		291,846,089	
on deposit account (including interest accrued thereon)	1,229,133		1,219,133	
(Pledged with sales tax authorities as security and with banks as margin money against guarantees issued)				
		697,585,247		293,477,836
Other Current Assets				
Interest accrued		331,225,206		213,683,686
Other Loans & Advances				
Advances recoverable in cash or in kind or for value to be received		1,556,139,422		2,177,875,858
TOTAL		4,375,557,372		3,753,645,557
SCHEDULE - 9				
CURRENT LIABILITIES AND PROVISIONS				
Liabilities				
Sundry creditors				
Micro and small enterprises	–		–	
Others	1,294,386,164		2,638,048,996	
Security deposits	44,742,509		61,463,276	
Interest accrued but not due	254,760,432		372,711,970	
		1,593,889,105		3,072,224,242
Provisions for				
Taxes	403,100,000		418,300,000	
Fringe Benefit Tax	5,710,000		3,680,000	
Gratuity	2,872,905		3,747,845	
Compensated expenses / Leave Encashment	11,746,720		9,834,338	
		423,429,625		435,562,183
TOTAL		2,017,318,730		3,507,786,425

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	2008-2009		2007-2008	
	Rupees	Rupees	Rupees	Rupees
SCHEDULE - 10				
INCOME FROM OPERATIONS				
Lease and hire purchase		1,362,551,102		1,037,394,314
Bills discounting		280,542,592		347,849,321
Term loan and other financing activities		6,531,906,969		4,480,190,527
Networking activity		7,009,549		30,135,343
Income from investments				
Others		34,219,872		102,952,671
Other operational income		86,536,765		62,096,949
TOTAL		8,302,766,849		6,060,619,125
SCHEDULE - 11				
PERSONNEL EXPENSES				
Salaries		275,349,049		155,787,771
Contribution to and provision for				
Provident fund and Pension fund	12,348,923		7,502,703	
Gratuity fund	3,272,905		3,747,845	
Superannuation fund	843,220		863,259	
Compensated expenses / leave encashment	4,224,574		4,461,606	
		20,689,622		16,575,413
Welfare and other expenses		22,862,849		14,164,170
TOTAL		318,901,520		186,527,354
SCHEDULE - 12				
ADMINISTRATIVE & OTHER EXPENSES				
Travelling and conveyance		72,546,144		58,993,550
Printing and stationery		13,607,347		8,368,718
Telephone, postage and telegrams		37,488,857		35,243,586
Directors' sitting fees		—		44,000
Brokerage and service charges		36,033,903		21,568,219
Advertising and publicity		360,623		1,674,995
Repairs and maintenance				
Plant and machinery		1,285,942		3,924,524
Others		25,179,142		21,456,683
Rent		99,172,122		17,125,692
Rates and taxes		15,689,370		7,256,579
Electricity charges		11,879,294		6,153,075
Insurance		34,185,373		10,442,522
Auditor's remuneration				
Audit fees	270,000		270,000	
Tax audit fees	78,000		78,000	
Certification	110,000		81,160	
Expenses reimbursed	3,895		10,432	
		461,895		439,592
Provision for non-performing assets / write offs		53,856,664		60,527,502
Provision for diminution in value of investments		11,708,614		(21,457,820)
Miscellaneous expenses		410,700,337		129,492,326
TOTAL		824,155,627		361,253,743

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

	2008-2009		2007-2008	
	Rupees	Rupees	Rupees	Rupees
SCHEDULE - 13				
INTEREST AND OTHER FINANCE CHARGES				
Fixed loans		3,993,022,949		2,498,747,768
Others		1,144,012,861		864,660,670
TOTAL		5,137,035,810		3,363,408,438

SCHEDULE - 14**SIGNIFICANT ACCOUNTING POLICIES****A. Basis of Accounting**

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with Generally Accepted Accounting Principles ('GAAP') and in compliance with the provisions of the Companies Act, 1956 and the Accounting Standards as specified in the Companies (Accounting Standards) Rules, 2006, prescribed by the Central Government. Insurance and other claims are accounted for as and when admitted by the appropriate authorities.

The preparation of financial statements in conformity with GAAP requires that the management of the Company makes estimates and assumptions that affects the reported amounts of income and expenses of the period, the reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Examples of such estimates includes the useful lives of fixed assets, provisions for doubtful debts / advances, future obligations in respect of retirement benefit plans, etc. Actual results could differ from these estimates. Any revisions to accounting estimates is recognized prospectively in the current and future periods. Wherever changes in presentation are made, comparative figures of the previous year are regrouped accordingly.

B. Fixed Assets**Owned Assets**

Assets held for own use are stated at original cost net of tax / duty credits availed, if any, less accumulated depreciation.

Leased Assets

Assets leased under finance lease are stated as Loans and Advances as required by Accounting Standards (AS) 19 'Leases'.

Assets under operating lease are stated at original cost less accumulated depreciation.

Assets taken on lease

Assets acquired under leases where the Company has substantially all the risks and rewards of ownership are classified as finance leases. Such assets are capitalised at the inception of the lease at the lower of the fair value or the present value of minimum lease payments and a liability is created for an equivalent amount. Each lease rental paid is allocated between the liability and the interest cost, so as to obtain a constant periodic rate of interest on the outstanding liability of each period.

Assets acquired on leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Lease rentals are charged to the Profit and Loss Account on accrual basis.

C. Intangible Assets

An Intangible is recognized if, and only if

- it is probable that the future economic benefits that are attributable to the asset will flow to the enterprise; and
- the cost of the asset can be measured reliably.

D. Impairment of Assets

As at each Balance Sheet date, the carrying amount of assets is tested for impairment so as to determine

- the provision for impairment loss, if any, required; or
- the reversal, if any, required of impairment loss recognized in previous periods.

Impairment loss, if any, is recognized when the carrying amount of an asset or group of assets, as the case may be, exceeds the recoverable amount.

Recoverable amount is determined

- in the case of individual asset, at higher of the net selling price and the value in use;
- in the case of a cash generating unit (a group of assets that generates identified, independent cash flows), at higher of the cash generating unit's net selling price and the value in use.

Value in use is determined as the present value of estimated future cash flows from the continuing use of an asset and from its disposal at the end of its useful life.

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

E. Investments

Long-term investments are carried at cost, after providing for any diminution in value, if such diminution is of other than temporary in nature. Current investments are carried at lower of cost or market value. The determination of the carrying costs of such investments is done on the basis of specific identification.

F. Foreign Currency Transactions, Forward Contracts and Derivatives

The reporting currency of the Company is the Indian Rupee.

Foreign currency transactions are recorded on initial recognition in the reporting currency, using the exchange rate at the date of the transaction. At each Balance Sheet date, foreign currency monetary items are reported using the closing rate. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rate at the date of transaction.

Forward contracts other than those entered into to hedge foreign currency risk on unexecuted firm commitments or of highly probable forecast transactions are treated as foreign currency transactions and accounted accordingly. Exchange differences arising on such contracts are recognised in the period in which they arise and the premium paid / received is accounted as expenses / income over the period of the contract.

Cash flows arising on account of roll over / cancellation of forward contracts are recognized as income / expenses of the period in line with the movement in the underlying exposure.

Derivative contracts are recognized in financial statements and re-measured at fair value (mark to market) as on the Balance Sheet date. Wherever the test of effectiveness of the hedge is met, the effective portion of the resultant gain or loss is recognised in the Profit and Loss Account in the period in which the hedged item affects the earnings. All other gains or losses on such contracts are recognized in the Profit & Loss Account immediately.

G. Revenue Recognition

Income from hire purchase and operating lease transactions are accounted on accrual basis, *pro-rata* for the period, at the rates implicit in the transactions. Processing fees / management fees, income from bill discounting, other financing activities, other compensation and investments are accounted on accrual basis.

Revenue is recognized based on the nature of activity when consideration can be reasonably measured and there exists reasonable certainty of its recovery.

H. The Company complies with the guidelines issued by the Reserve Bank of India in respect of Prudential Norms for Income Recognition and Provisioning for Non-Performing Assets.

I. Employee Benefits

Short-Term Employee Benefits

All employees benefits payable wholly within twelve months of rendering the services are classified as short-term employee benefits. Benefits such as salaries, wages, short term compensated absences, etc. and expected cost of bonus, ex-gratia are recognized in the period in which the employee renders the related service.

Post Employment Benefits

Defined Contribution Plans

The Company's Superannuation Scheme and Employee Provident Fund are defined contribution plans. The contribution paid / payable under the Scheme is recognized during the period in which the employee renders the related services.

Defined Benefit Plans

- (a) The Employees Gratuity Fund Scheme is the Company's defined benefit plan. The present value of the obligation under such defined benefit plans is determined based on actuarial valuation using the Projected Unit Credit Method, which recognizes each period of services as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation.

The obligation is measured at the present value of the estimated future cash flows. The discount rates used for determining the present value of the obligation under defined benefit plans, is based on the market yields on Government securities as at the Balance Sheet date, having maturity periods approximating to the terms of related obligations.

Actuarial gains and losses are recognized immediately in the Profit and Loss Account.

In case of funded plans, the fair value of the plan assets is reduced from the gross obligation under the defined benefit plans, to recognize the obligation on net basis.

Gain or losses on the curtailment or settlement of any defined benefit plan are recognized when the curtailment or settlement occurs. Past service cost is recognized as expense on a straight-line basis over the average period until the benefits become vested.

- (b) Long Term Employee Benefits: The obligation for long term employee benefits such as long term compensated absences is recognized as defined benefits plans.

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

J. Borrowing Costs

Borrowing costs that are attributable to the acquisitions, constructions or production of qualifying assets are capitalised as part of the cost of such assets till the time as the asset is ready for its intended use or sale. A qualifying asset is an asset that necessarily requires a substantial period of time to get ready for its intended use or sale.

All other borrowing costs are recognized as an expense in the period in which they are incurred.

K. Depreciation

Owned Assets

Depreciation on assets held for own use has been provided on straight-line basis as per Schedule XIV to the Companies Act, 1956, except for computer software. Computer software is depreciated @ 33.33% per annum. These rates are fixed in consonance with the expected useful life of the assets. Depreciation on assets acquired and given to employees under the hard furnishing scheme has been provided @ 18% per annum on straight line basis, except assets costing Rs. 5,000 or less which are depreciated on straight-line basis as per Schedule XIV to the Companies Act, 1956.

Assets given on lease

In respect of the assets given on finance lease, Accounting Standards (AS) 19 'Leases' has been applied. Investment in leased assets is shown under loans and advances duly adjusted for recoveries during the lease period as required under the said Standard.

In respect of assets given on operating lease, depreciation is provided on straight line basis *pro-rata* from the month of acquisition / capitalization at the rates which have been determined on the basis of type of the asset, lease tenor, economic life of the asset, etc. These rates vary from 7% to 20% per annum.

Assets taken on lease

Accounting Standards (AS) 19 'Leases' has been applied to the assets taken on lease on or after April 1, 2001. These assets have been depreciated over the period of lease for a value net of its residual value implied in the transactions.

L. Taxes on Income

Tax on income for the current period is determined on the basis of taxable income and tax credits computed in accordance with the provisions of the Income-Tax Act, 1961, and based on the expected outcome of assessments / appeals.

Deferred tax is recognised on timing differences between the accounting income and the taxable income for the year and quantified using the tax rates and the laws enacted or substantively enacted as on the Balance Sheet date.

Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realized.

M. Provisions, Contingent Liabilities and Contingent Assets

Provisions are recognized for liabilities that can be measured only by using a substantial degree of estimation, if

- i. the Company has a present obligation as a result of a past event;
- ii. a probable outflow of resources is expected to settle the obligation; and
- iii. the amount of the obligation can be reliably estimated.

Reimbursement expected in respect of expenditure required to settle a provision is recognized only when it is virtually certain that the reimbursement will be received.

Contingent Liability is disclosed in the case of

- i. a present obligation arising from a past event when it is not probable that an outflow of resources will be required to settle the obligation;
- ii. a possible obligation unless the probability of outflow of resources is remote.

Contingent Assets are neither recognized nor disclosed.

Provisions, Contingent Liabilities and Contingent Assets are reviewed at each Balance Sheet date.

15. NOTES FORMING PART OF ACCOUNTS

A. Contingent Liabilities

- i) Income Tax liability in respect of matters in Appeal: Rs. 1,326.14 Lakhs (*Previous Year Rs. 1,077.31 Lakhs*)
- ii) Interest Tax liability in respect of matters in Appeal: Rs. NIL (*Previous Year Rs. 53.67 Lakhs*)
- iii) Sales Tax liability in respect of matters in Appeal: Rs. 375.53 Lakhs (*Previous Year Rs. 414.06 Lakhs*)
- iv) Bond executed in respect of legal matters Rs. 10.00 Lakhs (*Previous Year Rs. 10.00 Lakhs*)

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)**B. Secured Redeemable Non-convertible Debentures**

Sr. No.	Face Value	Date of Allotment	Amount Rs. Lakhs	Interest	Redemption
1	Rs. 10 Lakh each	06/06/2007	15,500	10.80%	Redeemable at par at the end of 24 months from the date of allotment
2	Rs. 10 Lakh each	12/06/2007	7,000	10.92%	Redeemable at par at the end of 36 months from the date of allotment
3	Rs. 10 Lakh each	01/08/2007	5,000	NSE Mibor + 240 bps	Redeemable at par at the end of 24 months from the date of allotment
4	Rs. 10 Lakh each	01/08/2007	8,500	9.00%	Redeemable at par at the end of 24 months from the date of allotment
5	Rs. 10 Lakh each	01/08/2007	9,000	9.24%	Redeemable at par at the end of 36 months from the date of allotment
6	Rs. 10 Lakh each	05/11/2007	5,000	NSE Mibor + 198 bps	Redeemable at par at the end of 24 months from the date of allotment
7	Rs. 10 Lakh each	26/05/2008	10,000	NSE Mibor + 265 bps	Redeemable at par at the end of 24 months from the date of allotment
8	Rs. 10 Lakh each	07/07/2008	30,000	10.25%	Redeemable at par at the end of 36 months from the date of allotment
	Total		90,000		

Security: The Debentures are secured by way of first / second charge, having *pari passu* rights, as the case may be, on the Company's specified immovable properties and specified Hire Purchase / Lease / Term Loan receivables.

C. Unsecured Redeemable Non-convertible Sub-ordinate Debt

Sr. No.	Series	Interest	31/03/2009 Rs. Lakhs	31/03/2008 Rs. Lakhs	Date of Allotment	Earliest Redemption Date
1	Unsecured Redeemable Non-Convertible Subordinated Debt in the form of Debentures (Series "H" of FY 2007-08)	10.50%	7,500.00	7,500.00	20.02.2008	Redeemable at par at the end of 120 months from the date of allotment.

Unsecured Redeemable Non-convertible Debentures Others

Sr. No.	Face Value	Date of Allotment	Amount Rs. Lakhs	Interest	Redemption
1	Rs. 1 Crore each	24/03/2009	2,000	NSE Mibor+50 bps	Redeemable at par at the end of 87 days from the date of allotment
2	Rs. 1 Crore each	26/03/2009	2,500	9.00%	Redeemable at par at the end of 11 days from the date of allotment
3	Rs. 1 Crore each	30/03/2009	5,000	8.25%	Redeemable at par at the end of 7 days from the date of allotment
4	Rs. 1 Crore each	30/03/2009	1,000	NSE Mibor+115 bps	Redeemable at par at the end of 88 days from the date of allotment
5	Rs. 1 Crore each	31/03/2009	500	NSE Mibor+115 bps	Redeemable at par at the end of 87 days from the date of allotment
	Total		11,000		

- D. (i) Cash Credit / Working Capital Demand Loan of Rs. 8,000.00 Lakhs (*Previous Year: Rs. NIL*) is secured by hypothecation of specified hire purchases / lease assets and book debt relating to lease, hire purchase and other activities.
- (ii) Term loan of Rs. 1,43,975.00 Lakhs (*Previous Year Rs. 1,25,675.00 Lakhs*) is secured by hypothecation of specified hire purchase / lease / term loan receivables.
- (iii) Foreign currency loan of Rs. 6,383.09 Lakhs (*Previous Year Rs. 5,049.08 Lakhs*) is secured by hypothecation of specified hire purchases / lease assets and term loan receivables and book debts relating to lease, hire purchase and other activities.
- E. The Company has taken certain assets on lease costing Rs. 2.11 Lakhs (*Previous Year Rs. 7.41 Lakhs*) the future lease obligation against which is Rs. 0.29 Lakhs (*Previous Year Rs. 2.23 Lakhs*).
- F. i) Finance lease obligations taken on lease

The Company normally acquires assets / equipments under finance lease with the respective underlying assets / equipments as security. Minimum lease payments outstanding as of March 31, 2009 in respect of these assets are as under

Due	(Rs. Lakhs)		
	Total Minimum Lease Payments Outstanding as at 31.03.2009	Interest Not Due	Present Value of Minimum Lease Payments
Within one year	0.29	0.01	0.28
Later than one year and not later than five years	—	—	—
Later than five years	—	—	—
Total	0.29	0.01	0.28

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

ii) Finance lease obligations given on lease

The Company has given assets on finance lease to its customers with respective underlying assets / equipments as security. Minimum lease payments outstanding as of March 31, 2009 in respect of these assets are as under

Due	Total Minimum Lease Payments Outstanding as at 31.03.2009	Interest Not Due	(Rs. Lakhs)
			Present Value of Minimum Lease Payments
Within one year	371.90	48.21	323.69
Later than one year and not later than five years	333.94	30.65	303.29
Later than five years	—	—	—
Total	705.84	78.86	626.98

G. Income from other financing activities include interest on loans and advances of Rs. 62,921.95 Lakhs (*Previous Year Rs. 42,747.64 Lakhs*) {Tax deducted at source: Rs. 4,747.72 Lakhs (*Previous Year Rs. 3,552.03 Lakhs*)}

H. Advances recoverable in cash or in kind include

- (i) Loan to Officers Rs. NIL (*Previous Year Rs. 5.92 Lakhs*). Maximum amount outstanding during the year Rs. 5.92 Lakhs (*Previous Year Rs. 6.96 Lakhs*).
- ii) Rs. 28.18 Lakhs (*Previous Year Rs. 28.18 Lakhs*) being sales tax paid upto December 31, 1997 in various states on inter-state lease / hire purchase transactions. Due to ambiguity in certain provisions of Sales Tax Act in respective states with respect to such transactions, recovery of the same from the customers is kept in abeyance. The Company has since then been paying sales tax on such transactions under protest in various states to the extent it is collected from the customers.

I. Assignment of Receivables

The Company has assigned / sold some of the lease, hire purchase assets / receivables and term loan receivables amounting to Rs. 39,969.00 Lakhs (*Previous Year Rs. NIL*). This assignment / sale is without recourse to the Company. The Company does not expect any contingent or other liability in future in respect of these assigned / sold assets/ receivables.

J. Manager's salary and perquisites amounting to Rs. 17.69 Lakhs (*Previous Year Rs. 26.52 Lakhs*) have been charged to the accounts.

K. Value of imports (on CIF basis)

Capital Goods Rs. 5,688.96 Lakhs (*Previous Year Rs. 4,744.08 Lakhs*)

L. Employee Benefits

a) Defined Contribution Plans

Amount of Rs. 131.92 Lakhs (*Previous Year Rs. 83.66 Lakhs*) is recognised as an expense and included in Personnel Expenses in the Profit and Loss Account.

b) Defined Benefit Plans

The amounts recognised in Balance Sheet are as follows

Particulars	Gratuity Plan	
	As at 31.03.2009 Rs. Lakhs	As at 31.03.2008 Rs. Lakhs
A. Amount to be recognized in Balance Sheet		
Present Value of Defined Benefit Obligation		
- Wholly Funded	102.30	76.68
- Wholly Unfunded	—	—
Less: Fair value of Plan Assets	(69.57)	(39.20)
Unrecognized Past Service Costs	—	—
Amount to be recognised as liability or (asset)	32.73	37.48
B. Amounts reflected in the Balance Sheet		
Liability	32.73	37.48
Assets	—	—
Net Liability (Asset)	32.73	37.48

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

The amounts recognized in Profit and Loss Account as follows

Particulars	Gratuity Plan	
	2008-2009 Rs. Lakhs	2007-2008 Rs. Lakhs
1. Current Service Cost	27.35	12.63
2. Interest on Defined Benefit Obligation	7.81	4.61
3. Expected Return on Plan Assets	(3.21)	(2.69)
4. Actuarial Losses / (Gains)	0.78	18.45
5. Past Service Cost	—	—
6. Effect of any curtailment or settlement	—	—
7. Actuarial Gain not recognized in books	—	—
8. Adjustment for earlier years	—	4.48
Total included in Employee Benefit Expenses	32.73	37.48
Actual Return on Plan Assets	6.66	1.44

- c) The changes in the present value of defined benefit obligation representing reconciliation of opening and closing balance thereof are as follows

Particulars	Gratuity Plan	
	As at 31.03.2009 Rs. Lakhs	As at 31.03.2008 Rs. Lakhs
Balance of the present value of Defined Benefit Obligation as at April 1, 2008	76.68	44.22
Add: Current Service Cost	27.35	12.63
Add: Interest Cost	7.81	4.61
Add / (Less): Actuarial Losses / (Gain)	4.23	17.20
Add: Past service cost	—	—
Add : Actuarial losses / (Gain) due to curtailments	—	—
Add: Liabilities extinguished on Settlements	—	—
Add: Liabilities assumed on acquisition / (settled on divestiture)	—	—
Exchange difference on Foreign Plans	—	—
Adjustments for earlier years	—	—
Less: Benefits paid	(13.77)	(1.98)
Defined Benefit Obligation as at 31.03.2009	102.30	76.68

- d) Changes in the fair value of plan assets representing reconciliation of the opening and closing balances thereof are as follows

Particulars	Gratuity Plan	
	As at 31.03.2009 Rs. Lakhs	As at 31.03.2008 Rs. Lakhs
Opening balance of the fair value of the plan assets as at 01.04.2008	39.20	32.25
Add: Expected return on plan assets	3.21	2.69
Add / (Less): Actuarial gains / (losses)	3.45	(1.25)
Add: Assets distributed on settlements	—	—
Add: Contributions by Employer	37.48	7.19
Add: Assets acquired on acquisition / (distributed on divestiture)	—	—
Add: Exchange difference on Foreign Plans	—	—
Less: Benefits Paid	(13.77)	(1.98)
Closing balance of the plan assets as at 31.03.2009	69.57	39.20

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

- e) The broad categories of plan assets as a percentage of total plan assets as at March 31, 2009, are as follows

Particulars	Gratuity Plan As at 31.03.2009		Gratuity Plan As at 31.03.2008	
	%	Rs. Lakhs	%	Rs. Lakhs
1. Government of India Securities	46%	32.28	43%	16.81
2. Corporate Bonds	43%	30.10	36%	14.19
3. Special Deposit Scheme	9%	6.30	16%	6.30
4. Equity Shares of Listed Companies	0%	—	0%	—
5. Property	0%	—	0%	—
6. Insurer Managed Funds	0%	—	0%	—
7. Others	1%	0.89	5%	1.89

Basis used to determine the overall expected return

The Trust formed by the Company manages the investments of Gratuity Fund. Expected rate of return on investment is determined based on the assessment made by the Company at the beginning of the year on the return expected on its existing portfolio, along with the estimated incremental investments to be made during the year. Yield on the portfolio is calculated based on suitable mark-up over the benchmark Government securities of similar maturities.

- f) Principal actuarial assumptions at the Balance Sheet date

Particulars	As at 31.03.2009 %	As at 31.03.2008 %
1. Discount rate as on March 31, 2009	8.00	7.80
2. Expected return on plan assets as at March 31, 2009	7.50	7.50
3. Salary growth rate Gratuity scheme	6.00	6.00

- g) Attrition rate

For Gratuity Scheme, the attrition rate varies for various age groups.

- h) The estimates for future salary increases, considered in actuarial valuation, take into account inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

The amounts pertaining to defined benefit plans are as follows

Particulars	As at 31.03.2009 Rs. Lakhs	As at 31.03.2008 Rs. Lakhs
Gratuity Plan		
Defined Benefit Obligation	102.30	76.68
Plan Assets	69.57	39.20
Surplus / (Deficit)	(32.73)	(37.48)

- i) General description of defined benefit plans

1. Gratuity Plan

The Company operates gratuity plan wherein every employee is entitled to the benefit equivalent to fifteen days salary last drawn for each completed year of service. The same is payable on termination of service, or retirement, whichever is earlier. The benefit vests after five years of continuous service. The Company's scheme is more favourable compared to the obligation under the Payment of Gratuity Act, 1972.

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

2. Leave Encashment

The Company provides leave encashment benefit on all types of separation from the Company. It is calculated on the last basic salary drawn at the time of separation. Maximum leave encashment allowable at the time of separation is 300 days.

- j) Pursuant to the Employees Stock Options Scheme established by the Ultimate Holding Company (i.e. Larsen & Toubro Limited), stock options were granted to the employees of the Company during the year 2007-2008. Total cost incurred by the Ultimate Holding Company, in respect of the same was Rs. 191.88 Lakhs. The same is being recovered over the period of vesting by the Ultimate Holding Company. Accordingly, cost of Rs. 67.70 Lakhs (*Previous Year Rs. 67.23 Lakhs*) has been recovered by the Ultimate Holding Company in current year. Balance Rs. 56.95 Lakhs (*Previous Year Rs. 124.65 Lakhs*) will be recovered in future periods.

M. (i) Segment Reporting : AS-17

Primary Segment (Business Segment)

The Company operates mainly in the business segment of fund based financing activity. The other business segment does not have income and / or assets more than 10% of the total income and / or assets of the Company. Accordingly, separate segment information for different business segments is not disclosed.

Secondary Segment (Geographical Segment)

The Company operates only in the domestic market. As a result, separate segment information for different geographical segments is also not disclosed.

(ii) Related Party Disclosure : AS 18

List of related parties where control exists

- | | |
|--|--------------------------|
| 1. Larsen & Toubro Limited | Ultimate Holding Company |
| 2. L&T Capital Holdings Limited | Holding Company |
| 3. L&T General Insurance Company Limited | Subsidiary Company |

The following related party transactions were carried out during the year ended March 31, 2009.

(Rs. Lakhs)

No.	Controlling Company	Relationship	Nature of transaction	2008-2009			2007-2008		
				Amount	Amount due to	Amount due from	Amount	Amount due to	Amount due from
1	Larsen & Toubro Limited	Ultimate Holding Company	Transaction	83,000.00	—	—	1,51,500.00	—	—
			ICD Borrowed						
			Equity shares issued (including share premium)	—	—	—	25,000.00	—	—
			Sale of Investments	2,150.00	—	—	—	—	—
			Sale of Fixed Assets	3,664.66	—	—	—	—	—
			VAT on Sale	442.02	—	—	—	—	—
			Lease finance given	0.12	—	—	3,967.55	—	—
			Expenditure						
			Interest on ICD borrowed	1,228.31	—	—	575.23	—	—
			Service Charges	680.92	248.44	—	181.72	71.73	—
			Salary, cost of employees on deputation	124.06	20.22	—	80.77	—	—
			Income						
			Lease Finance Charges	6.34	—	6.86	10.18	—	7.02
			Operating Lease Rental	6,840.66	—	1,317.48	7,564.20	—	622.30
2	L&T Capital Holdings Limited	Holding Company	Service Charges	145.83	—	—	280.85	—	—
			Interest	187.33	—	187.33	—	—	—
			Transaction						
			ICD Borrowed	204.00	—	—	—	—	—
			Share Application money received	2,500.00	—	—	—	—	—
			Expenditure						
			Interest on ICD	0.04	0.04	—	—	—	—

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

(Rs. Lakhs)

No.	Controlling Company	Relationship	Nature of transaction	2008-2009			2007-2008		
				Amount	Amount due to	Amount due from	Amount	Amount due to	Amount due from
3	India Infrastructure Developers Limited	Fellow Subsidiary Company	Income Service Charges	—	—	—	14.40	—	7.20
4	L&T Capital Company Limited	Fellow Subsidiary Company	Transaction Subscription to Equity Share Capital	—	—	—	1,150.00	—	—
			ICD Borrowed	520.00	650.00	—	1,380.00	775.00	—
			Income Operating Lease Rentals	3.21	—	1.08	5.28	—	0.05
			Expenditure Interest on ICD	61.04	—	—	77.36	—	—
5	Larsen & Toubro Infotech Limited	Fellow Subsidiary Company	Transaction Lease Finance Given	—	—	—	85.95	—	—
			Expenditure Service Charges	7.53	138.09	—	47.58	102.39	—
			Income Lease Finance Charges	1.51	—	7.16	3.02	—	3.71
			Operating Lease Rentals	205.26	—	82.06	222.72	—	13.91
6	L&T-Sargent & Lundy Limited	Fellow Subsidiary Company	Transaction Lease Finance Given	—	—	—	0.35	—	—
			Income Lease Finance Charges	5.09	—	8.90	7.08	—	7.84
7	Tractors Engineers Limited	Fellow Subsidiary Company	Transaction Lease Finance Given	—	—	—	4.51	—	—
			Income Operating Lease Rentals	8.52	—	0.01	10.70	—	2.84
			Service Charges	—	—	4.61	2.50	—	4.61
8	L&T Infrastructure Finance Company Limited	Fellow Subsidiary Company	Transaction Purchase of Assets	1,200.00	—	—	—	—	—
			Expenditure Overheads Charged	19.91	—	—	14.74	7.97	—
			Income Overheads Charged	10.58	—	—	6.77	—	—
9	L&T General Insurance Company Limited	Subsidiary Company	Transaction Subscription to Equity Shares	—	—	—	5.00	—	—
10	NAC Infrastructure Equipment Limited	Fellow Associate Company	Transaction Subscription to Equity Shares	—	—	—	150.00	—	—
11	L&T-Valdel Engineering Limited	Fellow Subsidiary Company	Expenses Service Charges	84.05	—	—	—	—	—
			Income Operating Lease Rental	2.74	—	—	3.15	—	1.00

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

iii) Earnings per share (EPS) computed in accordance with Accounting Standard (AS) 20

	2008-2009	<i>2007-2008</i>
Profit After Tax for the year (Rs. Lakhs)	9,883.01	<i>11,501.40</i>
Number of Equity Shares	18,66,91,500	<i>18,66,91,500</i>
Weighted average number of equity shares	18,66,91,500	<i>17,96,90,134</i>
i) Nominal value of Shares (Rs.)	10.00	<i>10.00</i>
ii) Earnings per share Basic and Diluted (Rs.)	5.29	<i>6.40</i>

N. Disclosure in respect of Operating Leases as required under Accounting Standards (AS) 19

a) Gross Value of assets and accumulated depreciation as on Balance Sheet date

	2008-2009 Rs. Lakhs	<i>2007-2008 Rs. Lakhs</i>
Gross Value of Assets		
Plant and Machinery	7,458.05	<i>29,349.55</i>
Vehicles	11,922.03	<i>11,364.49</i>
Computers and Others	5,747.49	<i>5,278.53</i>
Accumulated Depreciation		
Plant and Machinery	1,317.72	<i>6,071.51</i>
Vehicles	4,308.32	<i>4,149.62</i>
Computers and Others	2,083.56	<i>1,273.55</i>

b) The total lease depreciation recognized in the Profit and Loss Account for the year is Rs. 5,251.11 Lakhs (*Previous Year Rs. 5,121.58 Lakhs*). No contingent rent has been recognized in the Profit and Loss Account during the year (*Previous Year Rs. Nil*).

c) The Company provides vehicles, computers, construction equipment and other plant and machinery on operating lease for varying periods and the lease can be renewed as per mutual agreement. Contractually, the lessee has the option to reduce the lease period and hence the agreements are treated as cancellable in nature.

O. Expenditure in Foreign Currency

On Interest	Rs. 339.53 Lakhs (<i>Previous Year Rs. 409.39 Lakhs</i>)
On other matters	Rs. 8.79 Lakhs (<i>Previous Year Rs. 1.00 Lakhs</i>)

P. Provision for Taxes

(a) i) Income Tax	Rs. 4,011.00 Lakhs (<i>Previous Year Rs. 4,167.11 Lakhs</i>)
ii) Wealth Tax	Rs. 20.00 Lakhs (<i>Previous Year Rs. 15.89 Lakhs</i>)
iii) Fringe benefit tax	Rs. 57.10 Lakhs (<i>Previous Year Rs. 36.80 Lakhs</i>)

(b) Major components of Deferred Tax Assets and Liabilities

(Rs. Lakhs)

Particulars	As at 31.03.2009		As at 31.03.2008	
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets	Deferred Tax Liabilities
Difference between book depreciation and tax depreciation	–	1,849.40	–	<i>1,829.00</i>
Provision for doubtful debts and advances debited to Profit and Loss Account	772.60	–	<i>303.19</i>	–
Unpaid statutory liability / provision for leave encashment debited to Profit and Loss Account	39.76	–	<i>33.31</i>	–
Other items giving rise to timing difference	126.10	2,178.16	<i>2.40</i>	<i>1,034.00</i>
TOTAL	938.46	4,027.56	<i>338.90</i>	<i>2,863.00</i>
Net Deferred Tax liability	3,089.10		<i>2,524.10</i>	
Less: Deferred tax liabilities as at April 1, 2008 (net) Reserve	2,524.10		<i>2,110.10</i>	
Net incremental liability charged to Profit and Loss Account	565.00		<i>414.00</i>	

- | Particulars | | (Rs. Lakhs) | |
|----------------|---|--------------------|---------------------------|
| Liability Side | | Amount Outstanding | Amount Overdue |
| 1 | Loans and advances availed by the NBFCs inclusive of interest accrued thereon but not paid | | |
| | a) Debentures : Secured | 92,373.87 | — |
| | : Unsecured | 18,601.83 | — |
| | (Other than falling within the meaning of Public Deposit s) | | |
| | b) Deferred Credits | — | — |
| | c) Term Loans | 2,73,646.91 | — |
| | d) Inter-Corporate Loans and Borrowings | 2,650.00 | — |
| | e) Commercial Paper | 54,000.00 | — |
| | f) Other Loans (Foreign Currency Loan) | 6,383.09 | — |
| | g) Lease Finance | 0.28 | — |
| | Asset Side | | (Rs. Lakhs) |
| | | | Amount Outstanding |
| 2 | Break-up of Loans and Advances including bills receivables [Other than those included in (3) below] | | |
| | (a) Secured | | 36,496.60 |
| | (b) Unsecured | | 91,562.42 |
| 3 | Break-up of Leased Assets and Stock on Hire and hypothecation loans counting towards AFC activities | | |
| | (i) Lease assets including lease rentals under sundry debtors | | |
| | (a) Financial Lease | | 660.34 |
| | (b) Operating Lease | | 18,696.84 |
| | (ii) Stock on hire including hire charges under sundry debtors | | |
| | (a) Assets on Hire | | — |
| | (b) Repossessed Assets | | — |
| | (iii) Other loans counting towards AFC activities | | |
| | (a) Loans where assets have been repossessed | | 5,457.12 |
| | Loans other than (a) above | | 3,85,590.02 |
| 4 | Break-up of Investments | | |
| | Current Investments | | |
| | 1. Quoted | | |
| | (i) Shares : (a) Equity | | 697.31 |
| | (b) Preference | | — |
| | (ii) Debentures and Bonds | | — |
| | (iii) Units of Mutual Funds | | — |
| | (iv) Government Securities | | — |
| | (v) Others (please specify) | | — |

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

		(Rs. Lakhs)		
Particulars		Amount Outstanding		
2.	Unquoted			
	(i) Shares : (a) Equity			—
	(b) Preference			—
	(ii) Debentures and Bonds			—
	(iii) Units of Mutual Funds			—
	(iv) Government Securities			—
	(v) Others (please specify)			—
Long Term Investments				
1.	Quoted			
	(i) Shares : (a) Equity			—
	(b) Preference			—
	(ii) Debentures and Bonds			—
	(iii) Units of Mutual Funds			—
	(iv) Government Securities			—
	(v) Others (please specify)			—
2.	Unquoted			
	(i) Shares : (a) Equity			5.00
	(b) Preference			—
	(ii) Debentures and Bonds			—
	(iii) Units of Mutual Funds			—
	(iv) Government Securities			0.04
	(v) Others (please specify)			0.01
5	Borrower group-wise classification of assets financed as in (2) and (3) above	Secured	Unsecured	Total
1.	Related Parties			
	(a) Subsidiaries	—	—	—
	(b) Companies in the same group	—	8,024.10	8,024.10
	(c) Other related parties	—	—	—
2.	Other than related parties	36,496.60	4,93,942.64	5,30,439.24
	Total	36,496.60	5,01,966.74	5,38,463.34
6	Investor group-wise classification of all investments (current and long term) in shares and securities (both quoted and unquoted)			
	Category	Market Value / Break up or fair value or NAV	Book Value (Net of Provisions)	
1.	Related Parties			
	a) Subsidiaries		5.00	—
	b) Companies in the same group		—	—
	c) Other related parties			
2.	Other than related parties		721.73	697.36
	Total		726.73	702.36

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)**7 Other information**

	Amount (Rs. Lakhs)
(i) Gross Non-Performing Assets	
(a) Related parties	—
(b) Other than related parties	12,921.32
(ii) Net Non-Performing Assets	
(a) Related parties	—
(b) Other than related parties	10,647.69
(iii) Assets acquired in satisfaction of debt	3,908.82

T. Schedule to the Balance Sheet of a Non-Banking Financial Company as required by RBI as per their circular RBI/2008-09/116 DNBS(PD).CC.No.125 / 03.05.002 / 2008-2009, Guidelines for NBFC-ND-SI as regards capital adequacy, liquidity and disclosure norms

1) CRAR

Items	2008-2009	2007-2008
i) CRAR (%)	16.41	15.81
ii) CRAR – Tier I Capital (%)	15.01	14.32
iii) CRAR – Tier II Capital (%)	1.40	1.49

2) Exposures**Exposure to Real Estate Sector**

Category	2008-2009	2007-2008
a) Direct Exposure		
(i) Residential Mortgages Lending secured by mortgages on residential property that is or will be occupied by the borrower or that is rented; (Individual housing loans up to Rs. 15 Lakhs may be shown separately)	NIL	NIL
(ii) Commercial Real Estate Lending secured by mortgages on commercial real estates (office buildings, retail space, multi-purpose commercial premises, multi-family residential buildings, multi-tenanted commercial premises, industrial or warehouse space, hotels, land acquisition, development and construction, etc.) Exposure would also include non-fund based (NFB) limits	NIL	NIL
(iii) Investments in Mortgage Backed Securities (MBS) and other securitized exposures		
a. Residential	NIL	NIL
b. Commercial Real Estate	NIL	NIL
b) Indirect Exposure Fund based and non-fund based exposures on National Housing Bank (NHB) and Housing Finance Companies (HFCs).	NIL	NIL

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)

3) Asset Liability Management

Maturity pattern of certain items of Assets and Liabilities**(Rs. Lakhs)**

	1 day to 30/31 days one month	Over one month to 2 months	Over 2 months upto 3 months	Over 3 months to 6 months	Over 6 months to 1 year	Over 1 year to 3 years	Over 3 year to 5 years	Over 5 years	Total
Liabilities									
Borrowings from banks	16,500	14,600	34,125	37,125	28,250	1,49,858	2,500	—	2,82,958
Market Borrowings	5,000	22,000	18,500	35,500	6,650	67,000	—	7,500	1,62,150
Assets									
Advances	36,853	27,135	42,748	39,544	70,799	2,87,655	40,705	—	5,45,439
Investments	697	—	—	—	—	—	—	5	702

- U. Sundry creditors include unclaimed matured fixed deposits of Rs. 5.36 Lakhs. There is no amount due and outstanding to be credited to Investor Education and Protection Fund as at March 31, 2009.
- V. Previous year figures have been regrouped / reclassified wherever necessary.

Signatures to Schedule 1 to 15

As per our report attached
SHARP & TANNAN
 Chartered Accountants

For and on behalf of the Board

MILIND P. PHADKE
 Partner
 Membership No. 33013

N. SURYANARAYANAN
 Manager and Company Secretary

Y. M. DEOSTHALEE
 Director

N. SIVARAMAN
 Director

Place : Mumbai
 Date : May 14, 2009

Place : Mumbai
 Date : May 14, 2009

SCHEDULES FORMING PART OF ACCOUNTS (Contd.)**16. BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE****I. Registration Details**

Registration No. U65990MH1994PLC083147

State Code

1 1

Balance Sheet Date 3 1 0 3 2 0 0 9

Date Month Year

II. Capital Raised during the Year (Amount in Rs. Thousands)

Public Issue

N I L

Bonus Issue

N I L

Rights Issue

N I L

Private Placement

2 5 0 0 0 0

Share application money pending allotment

III. Position of Mobilisation and Deployment of Funds (Amount in Rs. Thousands)

Total Liabilities

5 3 3 6 8 1 7 3

Sources of Fund

Paid-up Capital

1 8 6 6 9 1 5

Share application money pending allotment

2 5 0 0 0 0

Unsecured Loans

1 9 6 7 5 0 2 7

Application of Funds

Net Fixed Assets and Net Intangible Assets

2 4 1 9 2 8 8

Deferred Tax Assets

9 3 8 4 6

Net Current Assets

2 3 5 8 2 3 9

Accumulated Losses

N I L

IV. Performance of Company (Amount in Rs. Thousands)

Turnover

8 3 0 2 7 6 7

+ -

+

Profit / (Loss) before tax

1 4 5 3 6 1 1

+ -

+

** Earning per Share in Rs.

5 . 2 9

** Annualised

Total Expenditure

6 8 4 9 1 5 6

+ -

+

Profit / (Loss) after tax

9 8 8 3 0 1

Dividend rate %

N I L

V. Generic Names of Three Principal Products / Services of the Company (as per monetary terms)

Item Code No.

N . A .

(ITC Code)

Product Description

LOANS

LEASING / HIRE PURCHASE

BILLS DISCOUNTING

As per our report attached
SHARP & TANNAN
Chartered Accountants

For and on behalf of the Board

MILIND P. PHADKE
Partner
Membership No. 33013**N. SURYANARAYANAN**
Manager and Company Secretary**Y. M. DEOSTHALEE**
Director**N. SIVARAMAN**
DirectorPlace : Mumbai
Date : May 14, 2009Place : Mumbai
Date : May 14, 2009

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

Name of the Subsidiary Company

L&T General Insurance
Company Limited

Financial year of the subsidiary ended on

March 31, 2009

Number of shares of the Subsidiary Company held
by L&T Finance Limited and / or its nominee at the above date

50,000

The net aggregate of profits / (losses), of the subsidiary
company so far as it concerns the members of L&T Finance Limited

Rs. Lakhs

(i) Dealt with in the accounts of L&T Finance Limited amounted to

a) for the subsidiary's financial year ended March 31, 2009

—

b) for the previous years of the subsidiary since it
became subsidiary of L&T Finance Limited

—

(ii) Not dealt with in the accounts of L&T Finance Limited amounted to

a) for the subsidiary's financial year ended March 31, 2009

(75.24)

b) for the previous years of the subsidiary since it
became subsidiary of L&T Finance Limited

(1.91)

For and on behalf of the Board

Place : Mumbai
Date : May 14, 2009N. SURYANARAYANAN
Manager and Company SecretaryY. M. DEOSTHALEE
DirectorN. SIVARAMAN
Director